economies. These should be utilized to the extent possible, while having a full understanding of the limitations of international experience.

Can some of the work of regulation be pushed down to private firms? Consider the problem of regulating taxis. One possibility lies in setting up a bureaucratic machinery that engages with each taxi driver. Another pathway lies in contracting out this regulation to private taxi companies. Aggregation business models, such as AirBnB, have an incentive to utilize customer feedback and supervisory staff to improve the quality of their customer experience. [3]

In general, this is an easier path for the construction of state capacity as the number of transactions is reduced.

This approach has been particularly successful with ‘financial market infrastructure institutions’ (FMIIs) such as stock exchanges. Exchanges work as the front line of regulation, and engage in detail with hundreds of financial firms performing a large number of transactions. This reduces the demand for state capacity at the regulator. The problem that flows from this approach is the tension between the profit motive of an exchange and this regulatory function.

Does modern technology make it possible to remove the market failure? Sometimes, there are clever solutions through which a market failure can be eliminated. Consider the electromagnetic spectrum. At first blush, we think that the use of spectrum is rival: one person communicating at a certain frequency precludes others from using it. The state is then needed in establishing property rights to spectrum. This requires creating a bureaucratic machinery which auctions spectrum, and polices for violations.

However, there is an alternative methodology, which is used in cordless phones or WiFi, where intelligent devices establish a self-organizing system through which spectrum is shared. Intelligence at each device coupled with healthy protocols makes sharing of spectrum possible. Such technologies convert spectrum from rival to non-rival.

Once this is feasible, the need for government control of spectrum allocation is removed. This is an attractive path, particularly under conditions of low state capacity. All that the state needs to do is to say that